

UNIVERSITY OF PORT HARCOURT
FACULTY OF LAW
Topic: Terms of Contracts of Sale

Historically, at Common law, no term either conditions or warranties were implied in the sale of goods. What was obtainable was the doctrine of CAVEAT EMPTOR (meaning “buyer beware”). A buyer must therefore satisfy himself that there are no defects in the goods he wishes to purchase.

However, as a reaction to the harshness of the doctrine of CAVEAT EMPTOR which caused injustice in some cases, the **Sale of Goods Act, 1893** has implied some terms into every Sale of goods Contract to the effect that even though the parties did not specifically or expressly contemplate on (discuss) those terms at the time of entering into the contract, the law still compels them to observe and comply with those terms.

Where a condition is breached, the aggrieved party is entitled to repudiate (put an end to) the contract and may additionally sue for damages. The injured party can equally elect to continue the contract despite the breach of condition, in which case the condition is converted to a warranty commonly referred to as “warranty ex post facto – warranty after the fact”, and he can only sue for damages and can no longer repudiate the contract. See: **Section 11(2)(a) of the SGA**

Terms Implied by Statute

The regularity and consistency with which some terms were implied into contract by the courts over the years (especially sale of goods contracts) necessitated a legal intervention in 1893 through the passage of the **Sale of Goods Act, 1893** by the British Parliament. These implied terms are contained in **Sections 12–15 of the Act**, they are:

① Implied Undertaking as to Title

Section 12 by the SGA imposes obligation on the seller to pass good title to the buyer. This implied undertaking as to title comprises of three Components by virtue of Sec. 12(1)–(3)

Sec. 12 - In a Contract of Sale, unless the circumstances of the Contract are such as to show a different intention, there is:

Sub (1): An implied CONDITION on the part of the seller that in the case of a sale he has a right to sell the goods, and that in the case of an agreement to sell he will have a right to sell the goods at the time when the property is to pass.

Sub (2): An implied WARRANTY that the buyer shall have and enjoy quiet possession of the goods.

(3) An implied WARRANTY that the goods shall be free from any charge or encumbrance in favour of any third party, not declared or known to the buyer before the time when the contract is made.

In a sale of goods transaction, where a seller's title is defective, it constitutes a major impediment to the transaction because the seller cannot give what he does not have. Therefore, where the seller is in breach of this obligation to pass a valid and good title, it affects the essence of the transaction. In the case of **Eichholz v Bannister**, it was noted that in almost all the transactions of sale of goods, the seller by the very act of selling holds out to the buyer that he is the owner of the article he offers for sale.

In **Akoshile v Ogidan**, the defendant (seller) bought a car from a third party and subsequently sold the car to the plaintiff (buyer). It turned out that the third party from whom the defendant (seller) bought the car was convicted for stealing the car which resulted in the car being retrieved from the plaintiff's (buyer's) possession. In an action to recover the purchase price from the defendant (seller), the court held that the plaintiff (buyer) was entitled to the refund of his money in full. According to the court, the defendant sold a car which he had no right to sell and consequently had no title to convey to the plaintiff.

Also, in **Rowland v Divall**, there was a sale of a car which turned out to be a stolen car, after the buyer had used it for three months. The buyer returned the car to the true owner and sued the seller for refund of the purchase price. The court held that the buyer had bargained for ownership not use, and that the four months used was irrelevant. Thus, the buyer was entitled to his full purchase price.

→ That the buyer was at fault or was negligence of the buyer is no defence. The seller must have title or right to sell.

→ Seller's honest belief that he had title/right to sell is no defence

NOTE: If the buyer wishes to repudiate (*terminate*) the Contract, he must proceed under **Sec. 12(1)** and then join **Subsections (2) and (3)**; he cannot outrightly repudiate a Contract solely under **Subsections (2) and (3)** because they are WARRANTIES.

See the case of **Niblett v Confectioners' Materials** → see DIPLOMA Contract Textbook.

② Sale By description

Section 13 of the SGA, 1893 provides that:

“where there is a contract for the sale of goods by description, there is an implied Condition that the goods shall correspond with the description...”

Goods are regarded as Sold by description, where the buyer has not seen the goods but is relying on the description given by or on behalf of the seller. In the case of **Ashington v Christopher**, the court held that a statement made in the process of negotiation will only form part of the description if it operates to identify the goods in question.

In the case of **Varley v Whipp**, the seller contracted to sell to the buyer a harvesting machine which he described as almost new. When the machine was delivered by the seller, the buyer discovered that it was a very old machine. The buyer rejected it, refused to pay and returned it to the seller. In an action by the seller to compel the buyer to take delivery and pay for the machine, the court held that the buyer was entitled to reject the machine, because the description given by the seller is radically different from the reality of the machine.

Also, in **Ogwu v Leventis Motors**, there was a contract for the sale of a second-hand lorry that is 1-year old. It was later discovered that what the seller supplied was a four year old lorry. The purchaser was held entitled to return the lorry and reclaim his money for the seller's breach of **Section 13 of the SGA, 1893.**

Similarly, in **Beale v Taylor**, the seller described his Car as 1961 model. It later turned out that the Car was a 1948 model. The Court held that the buyer was entitled to repudiate the contract for a breach of **Sec. 13 of the SGA 1893.**

The second part of Section 13 of the SGA provides that:

“if the sale be by sample, as well as by description, it is not sufficient that the bulk of the goods correspond with the Sample if the goods do not also Correspond with the description”.

A case that borders on the full provisions of **Section 13 SGA** is the case of **Boshali v Allied Commercial Exporters**, where the seller described clothing materials to be of a specific nature and quality. This description was subsequently followed by a sample labeled and identified as ‘the goods earlier described’. When the cloths were delivered, it was discovered that the bulk was of inferior quality than the sample shown to the buyer when the goods were described. It was held that this constituted a breach of the condition as to description.

It is important to note, however, that where the buyer examines the goods and did not complain (or accepts knowing that the goods do not correspond with the given description), he is bound to pay the purchase price and cannot be allowed to reject the goods subsequently.

③ Fitness For Purpose

The implied condition that goods shall be fit for a particular purpose for which it is required is captured in **Section 14(1) of the SGA, 1893.**

However, for this Section to apply, the buyer must establish three essential facts, that is to say:

- a) He must, expressly or by implication, make known to the seller the particular purpose for which the goods are required. In **Khalil and Dibbo v Mastronikolis**, the purchaser of engine oil approached the seller who showed him three samples and he chose one. He did not tell the seller what he wanted the engine oil for. After the goods were supplied, the purchaser refused to pay for the engine oil pleading that it was unsuitable for use in an internal combustion engine. It was held that the seller was entitled to the price because the purchaser did not make known to the seller the particular purpose for which the oil was required and consequently that the case did not fall within **Section 14(1)**.

NOTE: The purpose need not be expressly made known to the seller if the goods can only be used for one purpose (or a self-evident purpose) — The seller will be presumed to know the purpose. Thus, in **Priest v Last**, there was a contract for the sale of a hot water bottle. After the sale, the buyer's wife was injured because the bottle burst while she was using it. The seller was held in breach of the implied condition as to fitness for purpose which was self-evident.

Also, in **Grant v Australian Knitting Mills**, the plaintiff bought underpants and was inflicted by "DERMATITIS SKIN INFECTION" after wearing the underpant. Due to its self-evident purpose, the defendant seller was held liable though the buyer did not specify the particular purpose for which the goods were required.

But where goods or particular goods is capable of several purposes, the buyer is obliged to state the particular purpose for which the goods is needed. In **DIC Industries v Jimfat (Nig.) Ltd**, wire coils were held capable of being used for several purposes. Since the plaintiff in this case did not tell the defendant the particular purpose for which he needed the goods, it was held that the requirement of **Sec. 14(1)** was not met.

- b) There must be evidence to the effect that the buyer relied on the skill and judgement of the seller. In **Godley v Perry**, a purchaser's action under **Sec. 14(1)** succeeded as the court held the buyer to have relied on the seller's skill and judgement when purchasing a toy catapult which injured him.

- c) the goods must be of a description which it is in the seller's business to supply (whether he be the manufacturer or not). In **Spencer Trading Co. v Devon**, the seller was a supplier of resins, gums and other adhesive (sticky) substances although he had rarely, if ever, supplied gum suitable for fly paper making. When he supplied gum to the buyer for the purpose of making fly

paper and it was found unsuitable for this purpose, an action by the buyer under **Sec. 14(1)** succeeded, as it was still an article of a description which it was in the course of the seller's business to supply.

Thus, when all these elements are satisfied, the seller is obliged to supply goods that are reasonably fit for the purpose as indicated by the buyer. In the case **Onotu v Adeleke**, there was a contract for the sale of a brand new car. However, the seller delivered a reconditioned car to the buyer which subsequently broken down several times. It was held that fitness for purpose in the sale of a car means that the car was reasonably fit to be driven on the road for a reasonable time. But the fact that this car broke down five days after the sale shows that it was not fit for the purpose.

④ Implied Condition as to Merchantability

According to **FAREWELL L.J** in the **British Tramways Case**, merchantable quality means that the article is of such quality and in such condition that a reasonable man acting reasonably would, after full examination, accept it in performance of his offer to buy it, whether he buys the article for his own use or to sell again.

As noted in **Grant v Australian Knitting Mills (supra)**, an article is not merchantable if it has defects unfitting it for its only proper use & which defect is not apparent or visible on ordinary examination.

Section 14(2) of the SGA, 1893 provides that:

“where goods are bought by description from a seller who deals in goods of that description (whether he be the manufacturer or not), there is an implied Condition that the goods shall be of merchantable quality.”

In **Morelli v Finch and Gibbons**, the plaintiff bought a bottle of WINE from the defendant. As the plaintiff was opening it, the bottle broke at the neck and cut his hand. The court held that the defect in the bottle rendered the wine as sold not of merchantable quality.

This position was also affirmed in the case of **Summer v Webb**, that goods are not of merchantable quality if, in the state which they are sold:

1. They have defects unfitting them for their ordinary use, and
2. Their condition is such that no one, with knowledge of their true condition, would buy them.

However, where the defect is visible or noticeable and would have been revealed by ordinary examination, then there is no implied condition of merchantability as regards defects which such examination ought to have revealed. Thus, in **British & Overseas Credit Ltd v Animashawan**,

the goods (tomato paste) were visibly bad, inedible (not eatable) and therefore not merchantable nor fit for purpose. This defect was confirmed by the Nigerian Customs who seized and examined the goods and declared over 300 crates defective. The defendant subsequently bought the goods and took delivery. He later refused to pay for the goods on grounds of its defects and unmerchantability. The court held him liable and bound to pay because he was given every opportunity to examine the goods, which examination would have revealed the defects.

It is of interest to note that defects in goods which cannot be reasonably seen by the physical eyes (latent defects) will not come under this provision. This was noted in the case of **Holt v Ezeafulukwe**

⑤ Sale By Sample

Section 15(1) of the SGA, 1893 provides that:

“a contract of sale is a contract of sale by sample where there is a term in the contract, express or implied, to that effect.”

It should be noted that **Section 15(2) of the SGA, 1893** provides that where the contract is a sale by sample, there are implied Conditions, namely:

1. That the bulk (of the goods) shall completely correspond with the sample in quality.
2. That the buyer shall have a reasonable opportunity of comparing the bulk with the sample. This means that the buyer is not deemed to have accepted the goods until he has had such opportunity (to compare). This is important because once the buyer accepts the goods, he loses the right to reject them.
3. That the goods shall be free from defects rendering them unmerchantable which defect would not be apparent (visible) on reasonable examination of the sample. This condition applies to latent (hidden) defects. It means that the seller is generally liable if the goods are defective; but he escapes liability if the defect in the goods could have been discovered by reasonable examination of the sample, whether in fact the buyer has made the examination or not.

In **Warwick v Mackenzie**, it was held that to constitute a sale by sample, in the legal sense, the parties must have contracted with reference to a sample, with mutual understanding that the sample furnished to the eyes a description of the quality of goods.